| **Social Security Administration – Cost-of-Living Adjustment** | **Number** | **Page** |
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**Effective Date:**
January 1, 2026

**Background:**
Social Security Administration (SSA) recipients will receive a 2.8 percent Cost-of-Living Adjustment (COLA) effective December 31, 2025, and payable January 1, 2026. In addition, starting January 2026 the Medicare Part B premium will increase to $202.90 per month.

**Policy:**
New Applicants
The actual amount of the SSA benefit, including the COLA increase, must be used for eligibility and budgeting purposes beginning in January 2026. The SSA budgeted amount for January will be considered reasonably anticipated income for applications received in November and December 2025.

Treatment of SSA COLA for Ongoing Semi-Annual Reporting (SAR) Customers
The SSA COLA is considered a mid-period county-initiated action. As a result, a decrease in CalWORKs/CalFresh benefits may occur effective January 1, 2026, with timely and adequate notice.

Income Reporting Threshold (IRT) Requirements
CalWORKs customers are required to report if the increase in SSA benefits combined with earned income results in exceeding their IRT. If income exceeding the IRT is reported an evaluation is required to determine if the customer is still eligible to benefits. If CalWORKs discontinues due to exceeding the IRT, the CalFresh households (HH) are eligible to Transitional CalFresh (TCF).

CalFresh HHs must report if the increase in SSA benefits combined with all other income received results in exceeding the HH's IRT. If income exceeding the IRT is reported, then an evaluation is required to determine if the HH is still eligible to benefits.

Treatment of SSA COLA for CalWORKs Annual Reporting/Child Only (AR/CO) Cases
The only cases where this action will not be considered mid-period are those AR/CO cases with a December 2025 redetermination. For those cases, include the updated SSA benefit amount in budgeting for the upcoming AR/CO period.

Timely and Adequate Notice
As with any adverse action, timely and adequate notice is required to decrease benefits. If unable to change the January 2026 CalWORKs grant/CalFresh allotment, take the appropriate action to decrease benefits the first of the following month after timely adequate notice can be provided. Recalculate January 2026 benefits using the increased SSA benefits and Medicare Part B premium amounts; and if the calculation results in a decrease, an overpayment/overissuance will need to be established as appropriate.

Treatment of SSA COLA for Non-MAGI Medi-Cal Eligibility Groups

The increase will not be applied to the Aged, Blind, and Disabled Federal Poverty Level (ABD FPL) and Medicare Savings Programs (MSPs) until April 1, 2026. Effective January 1, 2026, all medically needy cases with Title II income must have the share of cost (SOC) adjusted to reflect the COLA.

Medicare Part B

Disregard the income equal to the amount of the customer's Medicare Part B premium when determining eligibility for the ABD FPL program, regardless of the state's payment of the premium. This income disregard is applied to the budget as long as the countable income remains within the ABD FPL program limits.

**Note:** Customers who are evaluated as Medically Needy (MN) must pay the premium before receiving the deduction.

**Procedure:**

When updating the SSA benefit amount the calculation is to be completed as follows:

When Medicare Part B is **not** paid by the customer:

| Step | Action |
|---|---|
| 1 | Use the previous SSA Title II benefit amount. |
| 2 | Multiply the amount by 1.028. |
| 3 | Round down to the next lower dollar (remove the cents). |
| 4 | Final amount will be the new anticipated SSA benefit amount. |

When Medicare Part B **is** paid for by the customer:

| Step | Action |
|---|---|
| 1 | Add the 2005 Part B premium ($185) to the 2024 net Title II benefit amount. |
| 2 | Multiply the amount by 1.028. |
| 3 | Round down to the next lower dollar (remove the cents). |
| 4 | Subtract the 2026 Part B premium and round down to the next lower whole dollar. |
| 5 | Final amount will be the new anticipated SSA benefit amount. |

Refer to Medi-Cal Program Guide (MPG) 11.1A Assistance Standards for updated premium values.

**Impacts:**

Automation

A COLA mass update will run on December 6, 2025, automatically adjusting SSA benefit amounts and Medicare Part B premiums for open SSA and Medicare expense records in CalSAWS. On December 13, 2025, a batch Eligibility Determination Benefit Calculation (EDBC) run will occur and effective January 2026 CalWORKs/CalFresh benefits will reflect the SSA benefit and Medicare premium increases.

The automatic adjustment will **not** occur on cases where there was a discrepancy including manual overrides. Case list reports requiring action will be shared when available.
Cases not included in the COLA run will require staff to manually update the information in the California Statewide Automated Welfare System (CalSAWS) to reflect in the January 2026 benefits.

Other Programs Affected
The SSA COLA also applies to Refugee Cash Assistance (RCA) and Trafficking and Crime Victims Assistance Program (TCVAP).

**References:**
All County Information Notice (ACIN) No. I-56-25.
All County Welfare Directors Letter (ACWDL) 25-22, 25-26.

**Sunset Date:**
This policy will be reviewed for continuance by December 31, 2026.

**Approval for Release:**

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Self-Sufficiency Services